Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

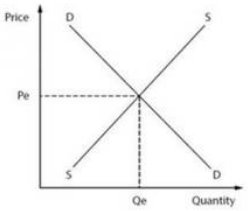
2023 JAN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 500 - 400 **(1)** Award 1 mark for calculating correct opportunity cost = 100 units of capital goods **(1)** Award 2 marks if opportunity cost is correctly calculated as 100 units of capital goods, even if no calculations are shown Award 1 mark if the answer given is 100, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Equilibrium price is the price at which the quantity supplied equals the quantity demanded • Possible use of a diagram, explained  The diagram shows the equilibrium price (P_e) at the point where the quantity supplied is equal to the quantity demanded (Q_e) • The increase in popularity of tagines bought by tourists means there is an increased demand at the markets visited by tourists, this would shift demand to the right • Therefore, producers are likely to be attracted to those markets in order to sell the tagines to tourists because the increase in demand would lead to them being able to charge a higher price • As the higher price attracts more producers, supply will increase until the point where an equilibrium is reached • At this point, the equilibrium price for tagines sold to tourists will be reached because it is the price where supply is equal to demand

Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Competition is where sellers aim to increase sales and profits by attracting customers from rivals in the market • There are many restaurants in Dahab. They are likely to have to keep prices low in order to remain competitive • This is beneficial to customers as they will be able to dine in a restaurant without the need to spend a lot of money • Customers are likely to benefit from good service and quality meals as the restaurant owners need to retain high levels of customer service to keep the custom • A variety of meals, discounts and live entertainment are offered as the restaurants aim to compete with their rivals • This gives customers more choice of what to eat as well as where to eat as the restaurants try to compete on other factors than price **AO4** • However, as the restaurants are less profitable, they may not be able to focus on improving ingredients • This means that some restaurants may not provide quality meals as they focus on trying to reduce costs to make more profit instead • Some restaurants may not be able to stay in business if they cannot bring in enough revenue to cover their costs • This may mean customers lose out on visiting their favourite restaurants, being able to select certain types of food or enjoying the live entertainment • In spite of the drawbacks, a number of new visitors are frequently likely to visit Dahab, meaning the restaurants may benefit from this new custom and be able to use profits to focus on improving meals for future customers • Therefore, there are likely to be a number of both positive and negative impacts for customers of restaurants in Dahab

Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 1 of 7 · Question 4 part c · 12 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

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Type MS · Competition between firms: benefits and drawbacks

Answer 2 of 7 · Question 2 part d · 1 mark

2019 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** **B** What to produce	 **(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **C** Y	 **(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. -12 ÷ 15 **(1)** Award 1 mark for correct price elasticity of demand (PED). = -0.8 **(1)** Award 1 mark if students show calculation and put 0.8 without the minus sign Award 2 marks if PED is correctly calculated, even if no calculations are shown Do not award marks for the formula	 **(2)**

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to an invention or new idea An idea which leads to a new product/process	 **(1)**

Type MS · Competition between firms: benefits and drawbacks

Answer 2 of 7 · Question 2 part d · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for one correct factor: • a decrease in advertising • a decrease in income • an adverse change in taste and fashion • a decrease in price of substitute goods • an increase in price of complementary goods • a decrease in population Accept any other appropriate response	**(1)**

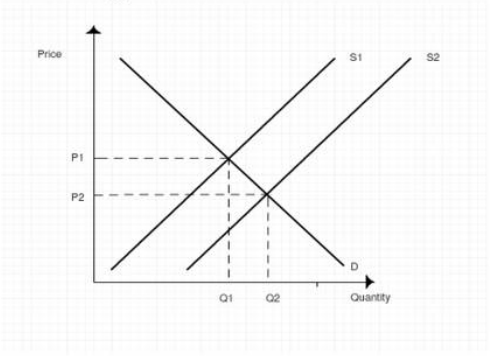
Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage • The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason for the difference in price Award 1 mark for developing the reason Award 1 mark for the response being in the context of transport in Dhaka • One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 2 of 7 · Question 2 part d · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

uestion number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing • The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right • Changes in technology allow the gap between demand and supply to be reduced. • The change in supply will also affect the equilibrium price, making parking cheaper and more available • Thus reducing the shortage of car parking spaces • Possible use of diagram  **AO4** • The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage • There is already such a large excess in demand that the introduction of APS will not make much difference • It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away • Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS

Type MS · Competition between firms: benefits and drawbacks

Answer 2 of 7 · Question 2 part d · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 2 of 7 · Question 2 part d · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

2(a)	**AO1 1 mark** **B** What to produce	 **(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **C** Y	 **(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. -12 ÷ 15 **(1)** Award 1 mark for correct price elasticity of demand (PED). = -0.8 **(1)** Award 1 mark if students show calculation and put 0.8 without the minus sign Award 2 marks if PED is correctly calculated, even if no calculations are shown Do not award marks for the formula	 **(2)**

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to an invention or new idea An idea which leads to a new product/process	 **(1)**

Type MS · Competition between firms: benefits and drawbacks

Answer 3 of 7 · Question 2 part f · 2 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for one correct factor: • a decrease in advertising • a decrease in income • an adverse change in taste and fashion • a decrease in price of substitute goods • an increase in price of complementary goods • a decrease in population Accept any other appropriate response	**(1)**

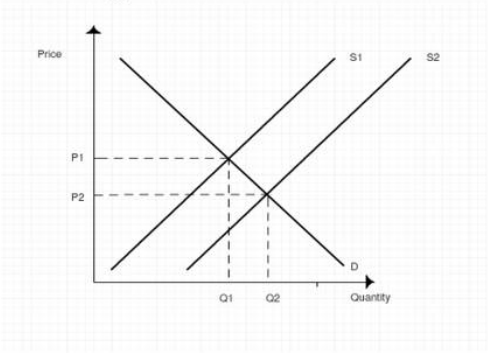
Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage • The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason for the difference in price Award 1 mark for developing the reason Award 1 mark for the response being in the context of transport in Dhaka • One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 3 of 7 · Question 2 part f · 2 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

uestion number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing • The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right • Changes in technology allow the gap between demand and supply to be reduced. • The change in supply will also affect the equilibrium price, making parking cheaper and more available • Thus reducing the shortage of car parking spaces • Possible use of diagram  **AO4** • The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage • There is already such a large excess in demand that the introduction of APS will not make much difference • It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away • Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS

Type MS · Competition between firms: benefits and drawbacks

Answer 3 of 7 · Question 2 part f · 2 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 3 of 7 · Question 2 part f · 2 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark

2(a)	**AO1 1 mark** **B** What to produce	 **(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **C** Y	 **(1)**

Question number	Answer	Mark
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Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to an invention or new idea An idea which leads to a new product/process	 **(1)**

Type MS · Competition between firms: benefits and drawbacks

Answer 4 of 7 · Question 2 part g · 3 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for one correct factor: • a decrease in advertising • a decrease in income • an adverse change in taste and fashion • a decrease in price of substitute goods • an increase in price of complementary goods • a decrease in population Accept any other appropriate response	**(1)**

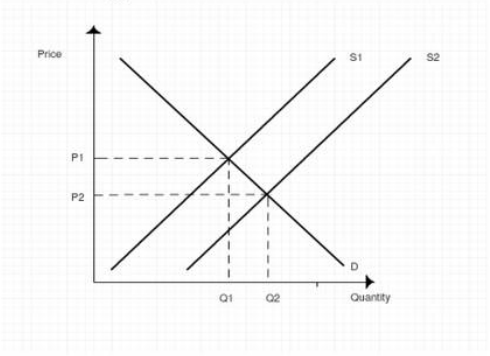
Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage • The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason for the difference in price Award 1 mark for developing the reason Award 1 mark for the response being in the context of transport in Dhaka • One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 4 of 7 · Question 2 part g · 3 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

uestion number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing • The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right • Changes in technology allow the gap between demand and supply to be reduced. • The change in supply will also affect the equilibrium price, making parking cheaper and more available • Thus reducing the shortage of car parking spaces • Possible use of diagram  **AO4** • The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage • There is already such a large excess in demand that the introduction of APS will not make much difference • It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away • Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS

Type MS · Competition between firms: benefits and drawbacks

Answer 4 of 7 · Question 2 part g · 3 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 4 of 7 · Question 2 part g · 3 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 5 of 7 · Question 2 part c · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Competition between firms: benefits and drawbacks

Answer 6 of 7 · Question 1 part e · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Competition between firms: benefits and drawbacks

Answer 6 of 7 · Question 1 part e · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

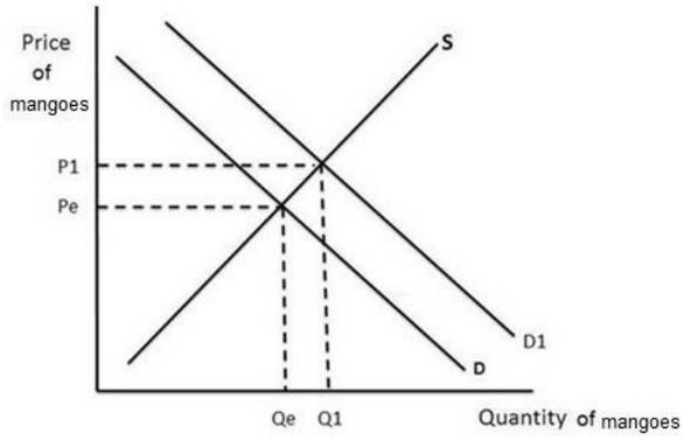
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Competition between firms: benefits and drawbacks

Answer 6 of 7 · Question 1 part e · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 6 of 7 · Question 1 part e · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Competition between firms: benefits and drawbacks

Answer 6 of 7 · Question 1 part e · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	Mark

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y A is not correct because production is possible using all resources B is not correct because some resources are unemployed D is not correct because all resources will be fully employed	**(1)**

Question number	Which **one** of the following is a factor that may affect the supply of labour? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Age distribution of population B is not correct because the supply of labour is not affected by economies of scale C is not correct because this may affect the demand for labour D is not correct because these will not cause changes in the supply of labour	**(1)**

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Calculate, to two decimal places the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 5.4%/7.8% **(1)** Award 1 mark for calculating the correct PES = 0.69 **(1)** Award 2 marks if PES is correctly calculated as 0.69, even if no calculations are shown Award 1 mark if the answer given is 0.69%, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term innovation? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The commercial exploitation **(1)** of a new invention **(1)** **OR** Innovation is the process of improving/creating new products/ services/production methods **(1)** to increase efficiency/in the production process **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** reason why a car mechanic is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason	

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

	A car mechanic provides the service of repairing vehicles/machinery for use in production **(1)** therefore a car mechanic is labour **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • The newly privatised Radio Nacional will be under pressure to make a profit **(1)** meaning there would be more incentive to meet the needs of listeners of Radio Nacional. **(1)** This would increase competition for other broadcasters **(1)** Accept any other appropriate response	**(3)**

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • Mine workers have already been helped by the GMWU, in obtaining an increase in the monthly minimum wage to $500 • A higher rate of pay may lead to increased productivity from more motivated workers, making employers more likely to accede to the union's demands • The union has been supporting workers for 80 years and has over 16,000 members, meaning it could have a lot of influence on employers • This longevity and the ongoing pressure of GMWU on employers to improve health and safety, shows the union has been reasonably effective so far **AO4** • However, the need for further talks to protect mine workers' jobs shows GMWU membership may only be partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to guarantee secure jobs • When wage rates increase, employers may not be able to afford to employ the same quantity of workers, thus meaning mine workers' jobs are at risk • Improving health and safety is likely to incur higher costs for mining firms • This means that the effectiveness of trade unions may depend on whether firms can pass on these increased costs through increased prices, such as when demand for products from mines is falling • The alternative may be reduced profit margins for the mining firms, meaning they would be less likely to agree to pay increases

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Competition between firms: benefits and drawbacks

Answer 7 of 7 · Question 2 part d · 2 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	A free rider can be defined as an individual who does which **one** of the following? **Answer**	Mark